cash from anyone else. We were making about $500 million a month and in numerous months paying out about $1 billion. It was a bit depressing.

**It hardly sounds depressing. The main thing is that you were making money when everyone else was losing. You didn't have to worry about the money; the money would always come back if you have the performance.**

It did. Also, it helped a great deal that we didn't gate.[6] When investors started returning to hedge funds, we got an unusually large share of the net investments. According to Deutsche Bank research, in 2010, net inflows into hedge funds totaled $55 billion. We got one dollar in nine out of those inflows.

**You not only did very well in 2008, but you also did well in 2009 when markets rebounded strongly. What were the trades that accounted for the 2009 gains?**

We faded a lot of the very big call and put skews in the market. The out-of-the-money strikes were insanely expensive. So we shorted a lot of out-of-the-money options and protected ourselves with offsetting long positions in the at-the-money options. The tails were enormously fat because of what had happened in 2008. The breakeven points on the shorts in the out-of-the-money strikes were so crazy that you needed to have another major crisis to come anywhere near losing money on the position. And I didn't think we were going to have another crisis six months after the 2008 crisis.

**Generals fight the last war. Speculators trade the last market. How have you managed to keep your risk so incredibly restrained through all types of markets?**

I talk about macro themes a lot because they are fun to talk about, but it is the risk management that is the most important thing. The risk control is all bottom-up. I structured the business right from the get-go so that we would have lots of diversification. For example, on the fixed-income side, I hire specialists. I have a specialist in Scandinavian rates, a specialist in the short end, a specialist in volatility surface arbitrage, a specialist in euro long-dated trading, an inflation specialist, and so on. They all get a capital allocation. Typically, I will hand out about $1.5